

Prediction Markets: Sizing the TAM

The product: what a prediction-market contract is

****At its core.**** A prediction-market contract is an exchange-traded financial instrument: a binary claim on a yes/no question about a future, objectively verifiable event – whether a candidate wins, an index closes above a level, an economic figure prints above a threshold, or a team wins a game. Each contract settles at \$1 if the event occurs and \$0 if it does not, and trades anywhere between \$0.01 and \$0.99 beforehand on an exchange order book. Because the payoff on a "yes" is a fixed \$1, the price is read directly as the market's implied probability: a contract at \$0.60 implies roughly a 60% chance. This is the defining feature of the instrument – it converts a question about the world into a tradable, exchange-listed price that is simultaneously a probability.

****Genesis and initial use case.**** The intellectual foundations of the product are academic. The statistician Francis Galton showed in 1907 that the aggregated guesses of a crowd – in his case, a fairground contest to estimate the weight of an ox – can be more accurate than any individual expert, and the Nobel Prize-winning economist Friedrich Hayek argued in his 1945 essay "The Use of Knowledge in Society" that prices efficiently aggregate information dispersed across many individuals. Together they explain why a market price can function as a forecast – the core idea behind prediction markets. The modern electronic version began with the Iowa Electronic Markets (IEM) in 1988, built by University of Iowa economists after opinion polls badly missed a primary result. Their hypothesis was that a market in which participants stake real money would aggregate dispersed information better than any single poll or expert, and it held up: the IEM's closing prices predicted election outcomes more accurately than the major polls, using small, capped real-money stakes under a CFTC no-action exemption as an academic research tool. The original use case was therefore not gambling but information aggregation – a forecasting instrument that happened to be built as a market, with the price itself serving as the forecast. That framing remains central to how the product is understood today.

****From academic experiment to commercial product.**** Through the 2000s the concept moved online. Intrade, based in Dublin, was the best-known venue during the 2008 and 2012 US elections, and its prices were widely quoted in the media, until US regulators forced its closure in 2013 for serving American customers without registration. PredictIt operated where Intrade could not because it was structured differently: a small, not-for-profit market run by a New Zealand university purely for academic research. On that basis it secured a CFTC no-action letter – an assurance that staff would not pursue enforcement – conditioned on staying non-commercial, with capped stakes, a limited number of traders per market, and no brokerage commissions. Intrade, by contrast, was a for-profit venue serving US customers with no such relief. That relief was itself withdrawn in 2022, when the CFTC found PredictIt had drifted from those terms; the platform kept running through a court injunction

and, in 2025, secured amended relief with higher limits. In parallel, a regulated path opened: HedgeStreet was approved in 2004 as the first CFTC-designated contract market (DCM) offering binary options, later becoming Nadex. But event contracts on politics and sports repeatedly ran into the CFTC's "economic-purpose" test – the requirement that a contract serve hedging or price discovery rather than pure gaming – which kept the category narrow for years.

****How it gained commercial significance.**** The breakthrough came with a new generation of venues built for scale. Kalshi, founded in 2018 by two MIT graduates, was designated a CFTC-regulated exchange in 2020 and launched trading in 2021; after a 2024 court ruling cleared the way for regulated election markets, its volumes surged around the US presidential election. Polymarket, launched in 2020 on crypto rails, drew global attention through the same election – though a 2022 CFTC settlement (\$1.4m, for running an unregistered contract market) forced it to block US users and operate offshore. It re-entered the US only in late 2025, after acquiring a CFTC-licensed exchange and clearinghouse (QCEX) for \$112m and receiving an amended CFTC designation that lets US users trade through regulated brokers. The category then expanded aggressively into sports event contracts, which now drive the bulk of volume, and into distribution: Robinhood, Interactive Brokers and now Charles Schwab have added event contracts for their retail bases, while DraftKings and FanDuel have launched their own products. Weekly notional volume across the sector reached records in 2026 – the week to mid-June produced roughly \$12bn, with sports about half of that – and the CFTC's assertion of exclusive federal jurisdiction, against a coalition of state attorneys general who argue the contracts fall under state gaming law, has become the defining regulatory battle. What changed was less the instrument than its reach: regulated venues, mainstream distribution, and a marquee election that put the product in front of a mass audience.

****An exchange-traded instrument, not a sportsbook product.**** This is the most important point about the product, and the one most often misunderstood. A prediction-market contract is a financial instrument traded on an exchange – not a stake placed with a bookmaker, and not a sportsbook product. The distinction is structural, not cosmetic:

– ****Traded on an exchange, against other participants – not against a house.**** Buyers and sellers meet on a central order book and transact with each other at prices they choose; the venue is a neutral marketplace that earns a transaction fee. A sportsbook, by contrast, is the counterparty to every position it books – it sets the odds, takes the other side, and profits from the margin built into them. A prediction market takes no position and embeds no house edge; price is set by supply and demand.

– ****A continuous, tradable position – not a one-shot stake.**** Because the contract is exchange-listed, a holder can buy and sell it at live market prices at any time before the event resolves – taking profit, cutting a loss, or hedging – exactly as with any listed security. A sportsbook stake, by contrast, is locked in until

the event settles and cannot be traded out of.

- ****Cleared, collateralised and regulated as a derivative.**** These are standardised, listed contracts, fully collateralised and – on Cboe's framework – centrally cleared by the OCC, overseen by a financial-markets regulator (the CFTC, or the SEC for securities options). Those are the hallmarks of a financial derivative, not a liability booked by an operator and regulated as gaming.

- ****A price that is a forecast.**** The contract price is a market-clearing probability and a genuine price-discovery output – which is why the same numbers are cited publicly as forecasts. Bookmaker odds, set to balance a book and protect a margin, are not the same thing.

The classification is contested – a coalition of state attorneys general argues the contracts are functionally sports gambling, while the CFTC asserts exclusive federal jurisdiction over them as event derivatives – but the mechanics above are what define the product, structurally, as an exchange-traded financial instrument.

****So what kind of instrument is it? A binary option.**** At its core the product is a binary (or "digital") option. A conventional call option pays progressively more the further the underlying finishes above its strike; a binary option instead pays a fixed amount if a condition is met at expiry and nothing if it is not. A prediction-market "yes" contract is exactly that – a cash-or-nothing binary call whose "strike" is the event threshold and whose fixed payoff is \$1, with the "no" contract its mirror image. So whether a venue labels the instrument an "event contract," an "event future," or a "binary option," the economic substance is identical: a fixed \$1/\$0 payoff on a defined outcome. The differences between venues lie in the legal and clearing structure – the wrapper – not the payoff:

- On Kalshi, and through Robinhood's and Interactive Brokers' futures commission merchants, the contracts are event contracts that the CFTC treats as swaps under the Commodity Exchange Act, traded on a CFTC-regulated DCM and, today, fully collateralised (the buyer posts up to the full \$1).

- On Polymarket, the same binary structure is issued on-chain and settled in stablecoins, domiciled offshore for US purposes.

- On Cboe – the route Charles Schwab is taking – the instrument is structured as a binary option, listed on a securities options exchange, cleared by the OCC and regulated by the SEC.

The payoff a user experiences is near-identical across all three; what differs is which regulator oversees it and how it clears.

****How the structure is evolving.**** Two shifts stand out. First, the product has moved beyond the single yes/no. A scalar question – where CPI will print, or where the S&P 500 will close – is offered as a ladder of binary contracts across bands, and a multi-outcome question, such as a multi-candidate election, is offered as a set of linked binaries whose prices sum to roughly \$1. The same simple building block can therefore express a full distribution of outcomes rather than a single threshold.

Second, the product is migrating into mainstream, options-style wrappers – and adding partial payouts. Cboe built a prediction-markets framework in early 2026 around a Mini S&P 500 contract, listed on its options exchange and centrally cleared by the OCC. Its design adds a third possibility to the usual binary: alongside a full \$100 payout and no payout, a contract can return a partial payout when the prediction is close but not exact, through a feature Cboe calls the "Plus Zone." Charles Schwab – with tens of millions of brokerage accounts and trillions in client assets – is launching S&P 500 binary, all-or-nothing options on this framework, with the partial-payout variant to follow, and is deliberately confining itself to verifiable financial outcomes rather than politics or sports. The significance is twofold: the product is moving from standalone event-contract exchanges onto the familiar, SEC-regulated, OCC-cleared options rails that every brokerage already supports, and the payoff itself is becoming more flexible, shifting from strict all-or-nothing toward graduated, range-based outcomes.

Methodology overview

We size the prediction-market opportunity across three categories: **sports**, **crypto**, and **economics, politics, financials, etc.** Each requires a distinct TAM anchor, because the comparable pool of displaceable volume differs by category. Our thesis is that retail enters through sports – given its inaccessibility and, in many jurisdictions, its illegality – but that the non-sports categories grow in prominence over time and account for most of the total volume. The methodology below builds the TAM bottom-up for each.

1. Sports – the entry point

We anchor the sports TAM to the **US sportsbook handle of ~\$165bn in 2025**. We deliberately use the US handle rather than a global figure: global handle is very difficult to use given the lack of consistent reporting and the scale of informal and grey-market activity outside regulated jurisdictions. The US number is clean, regulator-filed, and conservative.

Critically, this \$165bn is generated despite legal online/mobile sportsbooks operating in only ~32 states – California and Texas, the two largest states, remain unregulated. This gap is what drives retail to prediction markets. Sports prediction markets, operating as federally regulated (CFTC) event-contract exchanges, can offer the same exposure in all 50 states, reaching the large pools of demand that the state-by-state sportsbook patchwork leaves stranded – and the structural advantages do not stop at reach:

- **Regulatory reach.** A single federal framework preempts the state-by-state patchwork. The same contract is available nationwide, including in the largest prohibited markets, and is not gated by individual state licensing regimes.
- **Exchange, not a house.** Participants trade against each other

on an order book rather than against a bookmaker's built-in margin. Removing the house edge can deliver retail better effective pricing than a traditional sportsbook line.

- **Continuous tradability.** A position can be entered and exited at any point before the event resolves, allowing a user to lock in a gain, cut a loss, or hedge mid-event – something a one-shot sportsbook stake cannot do.

The same illegality-and-inaccessibility dynamic holds globally, where legal sportsbooks are banned or tightly restricted across many jurisdictions and informal markets fill the gap. This is precisely why we expect retail to arrive first through sports: it is the most familiar, highest-visibility use case, and prediction markets reach demand that the incumbent sportsbook structure cannot.

Handle vs. prediction-market volume. The two are not directly comparable, and the distinction matters. *Handle* is the gross amount staked – a one-directional, one-shot stake that is placed and then settles. *Prediction-market volume* is traded notional on a continuous secondary market: a position can be bought and sold many times before the event resolves, and each transaction prints volume. A single dollar of conviction can therefore generate several dollars of volume, which is why prediction-market volumes can exceed handle even at a smaller base of underlying participants.

On that basis, sports prediction-market volumes are already tracking at **~\$200bn** this year, surpassing the entire US handle for last year. We expect these volumes to grow at a **[xx]% CAGR** over 10 years (2025–35E). But sports is the entry point, not the main category: we expect its share of total prediction-market volumes to fall from **~[xx]%** in 2025 to **~[yy]%** by 2035E as the other categories scale.

2. Crypto – the fastest-rising share

Crypto's share of prediction-market volumes is already growing, rising from **[xx]%** in 2025 to **[xx]%** in 2026-YTD. We model crypto prediction-market volumes as a percentage of **spot crypto volumes**, rising from **[xx]%** in 2025 to **[xx]%** in 2035, a **[yy]% CAGR** over 10 years (2025–35E) – representing **[xx]%** of total prediction-market volumes by 2035E.

The structural pull is that crypto event contracts give retail a cleaner, more capital-efficient way to take a crypto view than either spot or leveraged derivatives:

- **Defined, capped downside.** The most a user can lose is the premium paid for the contract. There is no liquidation engine, no margin call, and no funding rate – a sharp adverse price move cannot force the position to close at a larger loss, as it can with a leveraged perpetual or futures trade.

- **A precise, time-boxed view.** Rather than continuous exposure to the magnitude of every price move, the user trades a single bounded question – whether a defined level is reached by a defined date. The

path no longer matters, only the outcome at expiry.

- **No custody or infrastructure burden.** No wallet, private-key management, stablecoin conversion, or on-chain gas is required to express the view; cost and payoff are known at entry.

- **Downside access that spot lacks.** Shorting is largely inaccessible to retail in spot crypto. A holder can instead buy a downside contract as a cheap, defined-cost hedge against their spot book. For example, a user holding Bitcoin at ~\$100,000 who is worried about a near-term drop can buy a "Will Bitcoin fall below \$90,000 this month?" contract for, say, \$0.20. If Bitcoin falls through \$90,000, the contract pays \$1.00 – a 5x return that offsets part of the loss on their holdings; if it does not, they lose only the \$0.20 premium. The same structure also earns in flat, sideways markets – for instance, selling a "Will Bitcoin exceed \$120,000 this month?" contract pays out if the price simply fails to break higher – whereas a directional spot trader needs the price to actually move to profit.

- **Price as probability.** The contract price reads directly as the market-implied odds of the outcome, giving retail a transparent, intuitive instrument rather than one requiring options-pricing fluency.

These advantages are most acute around discrete, datable crypto events – price thresholds, ETF decisions, network upgrades, halving-related milestones – where a binary, fixed-deadline structure fits far better than open-ended spot or perpetual exposure.

3. Economics, politics, financials, etc. – the largest category over time

The economics, politics, and financials category accounts for **[xx]** % of prediction-market volumes in 2025. We expect it to become the most dominant category over time, for three reasons.

- Access to exposures that otherwise do not exist.** Prediction markets open up macro, rates, and policy exposures that no retail-accessible instrument cleanly replicates. A user can take a position on the level of SOFR or the federal funds rate after a specific FOMC meeting, on a CPI or PCE print, on payrolls, GDP, the unemployment rate, or the probability of a recession. For many of these variables there is simply no liquid, retail-tradable derivative anywhere else. On the political side, the same is true of election and policy outcomes: a discrete political or regulatory risk can be traded directly, rather than through a noisy and imperfect proxy.

- Elimination of basis risk.** The category lets a user trade the exact variable they have a view on. For example: a user who believes a carmaker will beat on quarterly deliveries can trade a contract on the delivery number itself – without taking a view on the stock, which is driven by many other factors (guidance, margins, rates, broad sentiment). The event contract isolates the thesis; the equity does not. The same logic lets a clean-energy investor hedge a specific regulatory outcome, or a tech-heavy portfolio hedge a specific antitrust or policy event, directly rather than through

correlated instruments that may not move when the event actually lands.

****Defined risk and an intuitive format.**** Every contract is a binary yes/no on a named, pre-specified resolution source, settling at \$1 or \$0. The price paid is the entire cost of the position and also the maximum possible loss – there are no margin calls and no exposure beyond it. A trader who thinks the market is over-pricing a Fed hike, for example, can simply buy the "no" contract; shorting Treasury or Fed funds futures needs less cash upfront – only initial margin – but carries mark-to-market margin calls and losses that can exceed that margin. The trade-off is therefore certainty rather than leverage: under the current fully-collateralised model the buyer posts the full contract price, so the benefit today is a known, capped cost rather than a smaller upfront outlay (genuine capital efficiency relative to futures arrives once margin trading is introduced – see catalysts below). That simplicity and certainty also lower the complexity barrier for participants who find futures and options – with their margin, leverage, and Greeks – too involved, while still serving genuine hedging and price-discovery functions.

****Penetration methodology.**** We anchor this TAM to retail trading in traditional instruments – retail CFDs, derivatives, and retail equity volumes across the major financial hubs (excluding China and India) – and we assume ****2% of these volumes**** are penetrated by prediction markets. The TAM appears very, very high because retail traditional volumes are measured on a notional basis, and the heavy use of leverage and margin on futures and options inflates that notional enormously. As a result, even a 2% penetration of that pool implies prediction-market volumes in this category of ****~\$25tn by 2035E****, growing at a ****[xx]% CAGR over 10 years (2025–35E)****. As set out above, the structural advantages over traditional instruments – unique access, the elimination of basis risk, and defined risk with a known, capped cost – are precisely what we expect to drive that penetration.

4. Institutional adoption – concentrated in economics, politics and financials

We expect institutions to become significant participants in prediction markets, with adoption concentrated in the economics, politics and financials category rather than in sports or crypto. Sports contracts are largely a retail product with limited institutional hedging use, and in crypto institutions already have deep spot, futures and options venues for exposure. It is the third category – where the underlying risks are real, event-driven and often hard to hedge elsewhere – that draws professional capital.

****Why institutions adopt.**** We see four core reasons:

- ****Direct hedging of event risk with no basis risk.**** Traditional instruments hedge specific event risk bluntly, if at all. A portfolio manager worried about a single FOMC decision, a data

print, a piece of legislation, or an election outcome can hedge exactly that risk with a contract that references the variable itself – so the hedge pays on the event rather than on a correlated proxy across rates, equities or FX that may not move when the event lands. This makes prediction markets a cleaner hedge for political, regulatory and macro-event risk than what is otherwise available.

- ****A new, uncorrelated return stream.**** Beyond hedging, event outcomes are largely uncorrelated with equity and bond beta, so for hedge funds and proprietary desks the contracts are a diversifying source of return in their own right – a venue to express informed views and exploit mispricings rather than only to offset existing exposure.

- ****Capital efficiency.**** As margin replaces the legacy fully-collateralised model, institutions can express the same view while posting only a fraction of notional – bringing event contracts into line with how they already use futures and options, and freeing capital for the rest of the book.

- ****A regulated venue and a continuous signal.**** A federally regulated (CFTC) exchange clears the compliance bar that rules out unregulated venues, while the continuously updating, market-implied probability the contracts generate is itself valuable to institutions as a real-time input to risk and research.

****Sizing the institutional share.**** By 2035, we expect institutional flow to form ****[xx]% of total prediction-market volumes****, and ****[yy]% of non-sports, non-crypto volumes****. Crypto on regulated venues is a useful comparison: on Coinbase, institutions now account for roughly 80% of trading volume, up from under a fifth in 2018 – institutional flow has come to dominate trading there over the course of a decade. We expect the economics-politics-financials segment to follow a similar direction of travel, with retail building the early liquidity and institutions accounting for a growing share of volume over time.

****Activity to date.**** Institutional trading is still early, but the first concrete block trades have already printed on both major venues, and both were genuine hedges rather than speculation:

- ****Kalshi (April 2026)**** cleared the category's first institutional block trade – a six-figure ticket brokered by Greenlight Commodities, with Jump Trading as liquidity provider, for a Houston-based environmental hedge fund hedging California carbon-allowance pricing.

- ****Polymarket (June 2026)**** followed with the first on-chain institutional block trade – a six-figure transaction between prime broker FalconX and AI-risk clearinghouse AneraLabs, hedging Nvidia H100 GPU compute-rental costs against the Ornn Compute Price Index, settled on Polygon. FalconX is to act as a dedicated market-maker for future block trades.

- ****Galaxy Digital**** launched an institutional OTC prediction-markets desk – acting as a principal counterparty so institutions can trade in size and with discretion off the public order book – covering non-sports contracts on both Kalshi and Polymarket. At launch it executed a ~\$10m trade on Kalshi with crypto-native hedge

fund Arca tied to the outcome of the CLARITY Act (US digital-asset market-structure legislation).

These are small tickets, but the pattern is the point: across both a CFTC-regulated exchange (Kalshi) and a crypto-native on-chain platform (Polymarket), trades were brokered through institutional intermediaries (Greenlight, Jump, FalconX, Galaxy) and used by funds to hedge real, specific exposures – carbon pricing, compute costs, legislative outcomes – that listed instruments cover poorly or not at all. Institutional volume more broadly has scaled rapidly over the past year, with participants citing hedging as the main driver, even as most flow today remains retail.

****Illustrative use cases by risk type.**** Put in the position of an institution, the natural applications cluster around risks that are binary, event-dated and poorly served by listed instruments:

- ****Monetary-policy and rates risk.**** A fixed-income desk hedges an FOMC surprise – a hold where it is positioned for a cut, or vice versa – directly through a rate-decision contract, with defined risk and a payoff tied to the decision itself rather than to the broader move in Fed funds or Treasury futures.
- ****Legislative and regulatory risk.**** A fund hedges the passage or failure of a specific bill – for example, a pharma fund hedging drug-pricing legislation, or an energy fund hedging a permitting or emissions rule – directly, rather than through equities that also carry unrelated risks. (The Galaxy-Arca CLARITY Act trade above is a live instance of exactly this.)
- ****Corporate-event and deal risk.**** A merger-arbitrage desk hedges whether a pending acquisition clears antitrust review; a sector fund hedges a specific regulatory ruling that would re-rate its holdings.
- ****Election and political risk.**** An asset manager hedges an election or policy outcome that would reprice an entire sector – energy, healthcare, financials – without having to pre-position in the equities themselves.
- ****Catastrophe, weather and operational risk.**** An insurer or energy firm hedges hurricane landfall, a named-storm count, or an extreme-temperature reading as a cat-risk proxy; an agricultural firm hedges a USDA crop report.
- ****Macro-tail and geopolitical risk.**** A multi-asset fund hedges a government shutdown, a tariff decision, a sovereign event or a geopolitical flashpoint – risks for which no clean listed instrument exists.

****Catalysts that accelerate institutional adoption.**** The infrastructure required to scale institutional participation is being assembled now:

- ****Margin and leverage.**** Kalshi has taken the first step toward offering margin by registering an affiliated futures commission merchant (Kinetic Markets, NFA-registered as an FCM in March 2026), which would move it beyond the fully-collateralised model. Margin is not yet live – final CFTC sign-off on partially-collateralised trading is still pending – but the stated plan is to make it

available to institutions first, and it is the single biggest step in making event contracts capital-comparable to futures and options.

- **OTC desks for size, discretion and custom contracts.** Galaxy Digital has launched an institutional OTC prediction-markets desk through its Global Markets unit, acting as a principal counterparty that can warehouse risk, execute in size, and pair event positions with equity and commodity hedges – covering non-sports contracts on Kalshi and Polymarket. Wintermute is quoting two-sided markets in event contracts to deepen liquidity, and BitGo Prime has partnered with Susquehanna Crypto to offer institutional OTC access. These desks let institutions trade at block size, off-exchange, and structure customised hedges that the central order book cannot support.

- **Prime-broker, clearing and execution integrations.** Clear Street has become the first institutional FCM on Kalshi's exchange; FIS is building clearing connectivity; Trading Technologies is extending its execution and algorithmic toolset (used by Tier-1 banks, hedge funds and proprietary traders) to Kalshi; and Interactive Brokers has integrated event contracts alongside equities, options and futures. This plumbing resolves the chicken-and-egg problem – without professional tools institutions cannot deploy at scale, and without that capital the market lacks the liquidity to attract them.

- **Market-making liquidity and data distribution.** Dedicated market-makers posting continuous two-sided prices tighten spreads and support larger trade sizes, while distribution of prediction-market data through institutional channels (for example, Tradeweb) embeds the market-implied probabilities into the workflows institutions already use – both of which raise the reliability of the signal and lower the cost of participating.

Taken together, these developments move the category from a mainly retail product towards institutional-grade infrastructure, which supports our expectation that institutional participation in the economics-politics-financials segment increases over the forecast period.

5. From volumes to revenue

Revenue follows volume through the take rate – the share of traded volume the venues retain as fees. Prediction markets generated roughly **\$400m** of revenue in 2025, and that figure was earned while Polymarket, one of the two largest venues, charged no trading fees at all. That has since changed: with fees now applied across the major venues, the industry is currently tracking a take rate of **~90bps**. We expect this take rate to fall to **~50bps** by 2035 as institutional participation increases, because institutions trade in size and at far lower fees than retail. Crypto is the clearest precedent: on Coinbase, institutional take rates run at only a few basis points, against tens to hundreds of basis points for retail, so as institutional flow grows as a share of volume, the blended take rate compresses.

The key point is that the take rate falls even as revenue rises,

because the decline in rate is more than offset by the growth in volume. On that basis, we expect prediction-market revenue to grow from ****~\$400m** in 2025 to **~\$100bn** by 2035E**, a ****~74% CAGR** over 10 years (2025–35E)**. This is simply the product of a much larger volume base and a lower blended take rate, and is consistent with the volume TAM set out above.

Conclusion

This is our broad TAM framework: sports as the high-visibility entry point that brings retail in; crypto as the fastest-growing share near term; and economics, politics and financials as the largest category on a notional basis and the main driver of long-run volumes. Retail enters through sports, but most of the growth comes from economics, politics and financials.